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Principles of Private Law

3A
Intention to Create Legal Relations

- To create a binding contract, we need:
  - Offer
  - Acceptance
  - **The parties must intend to create legal relations**

There may be consideration – without an intention to form a binding contract:

1. Was an honourable commercial agreement a legal one?
2. Was an agreement to help a friend move house in exchange for dinner intended to be legally binding?
3. Was a government policy that led to someone recieving assistance a legally binding contract?
4. Is a preliminary agreement binding immediately or does another step need to nbe completed before it becomes binding?

Court must be able to infer intention to create legal relations.

- Usually commercial parties contracting at arms-length are taken to have intended to create legal relations.
- Traditionally it was presumed there is no ICLR where the deal is not commercial – ie: where it is social, domestic relationship
- What did the parties intend?
  - Market terms at arms-length?
  - Depends on the facts
- What is the point of peppercorn consideration?
- Generally, the search is for an objective intention, not a subjective intention.
  - Objective = What would the reasonable person infer from the situation?

Consider these scenarios:

- A offers to sell B 100 bricks at $1/brick. B accepts. Contract?
- A offers to race his friend B. Loser pays $50. B says, ‘you’re on!’ Contract?
- A promises B, her brother, a life interest in A’s house if B comes to live with her. B accepts. (like *Todd v Nichol*)
- A promises to sell B, her brother, a car for $150,000. B accepts. Contract?



Ermogenous v Greek Orthodox Community of SA Inc (2002) 209 CLR 95

Court had to grapple with the notion of presumptions.

He or she who alleges must prove. But in some circumstances, can prove by presumption

Evidence can be admitted into court in 4 forms:

- Agreed facts
- Evidence
- Notorious fact – eg sun rises in the east and sets in the west
- Presumption

HCA addressed the issue of contractual presumptions.

Ermogenous v Greek Orthodox Community of SA Inc (2002) 209 CLR 95

- Facts: Archbishop Spyridon Ermogenous made a claim in the Industrial Relations Ct of SA against the Greek Orthodox Community of SA Inc [GOC] for sums … due to him for annual leave and long service leave.
- He alleged that he had been employed by the GOC since 18 March 1970 but had never received those payments.
- Findings: Industrial Magistrate found against the GOC (respondent).
- GOC appealed against the judgment to a single judge of the Industrial Relations Ct of SA - largely unsuccessfully
- GOC appealed to the Full Court of the Supreme Ct of SA, successfully
- By special leave, the Archbishop appealed to HCA.

Ermogenous v Greek Orthodox Community of SA Inc

- "It is of the essence of contract, regarded as a class of obligations, that there is a voluntary assumption of a legally enforceable duty".
- "the search for the "intention to create contractual relations" requires an objective assessment of the state of affairs between the parties".
- Is there a presumption of intention in cases involving a domestic or social relationship?
- Was there was an intention to create a contractual relationship? Why?

26. In this context of [ICLR] there is frequent reference to "presumptions". It is said that it may be presumed that there are some "family arrangements" which are not intended to give rise to legal obligations, and it was said in this case that it should not be presumed that there was an [ICLR] because it was a matter concerning the engagement of a minister of religion. …, we doubt the utility of using the language of presumptions in this context.

At best, the use of that language does no more than invite attention to identifying the party who bears the onus of proof. In this case, ..., there could be no doubt that it was for the appellant to demonstrate that there was [a legally binding] contract.

Reference to presumptions may serve only to distract attention from that more basic and important proposition. GAUDRON, McHUGH, HAYNE AND CALLINAN JJ

27. … the use of the language of presumptions may lead, as it did in this case, to treating one proposition (that an ICLR is not to be presumed) as equivalent to another, different proposition (that generally, or usually, or it is to be presumed that, an arrangement about remuneration of a minister of religion will not give rise to legally enforceable obligations). References to "the usual non-contractual status of a priest or minister" and factors which "generally militate against" a finding of [ICLR] illustrate the point.

GAUDRON, McHUGH, HAYNE AND CALLINAN JJ

- Court did not want the relationship between Church and minister to ossify into a rule that there can never be a contract between a church and a minister of religion

- You must determine from the evidence whether the ICLR existed

- Presumptions not very helpful in this case

Spiritual functions do not negate legal relationships

74. There is therefore no presumption that contracts between religious or associated bodies and ministers of religion, of their nature, are not intended to be legally enforceable.

At least where the contracts concern proprietary and economic entitlements, of the kind which in this case Archbishop Ermogenous sought to enforce (and certainly where they are not intertwined with questions of religious doctrine that a court would not feel competent to resolve according to legal norms) there is no inhibition either of a legal or discretionary character that would prevent enforcement of such claims when they are otherwise proved to give rise to legal rights and duties.

Kirby J

Banque Brussels Lambert v Australian National Industries
(1989) 21 NSWLR 502

- Basic facts:

- A related company of the debtor represented to its creditor that it ensures that its subsidiaries meet their $US5m financial obligations.

- Was this a 'letter of comfort' a non-contractual assurance enforceable as a matter of honour or a guarantee enforceable as a matter of contract law?

- No invariable rule. Need to construe what reasonable person would think?

There should be no room in the proper flow of commerce for some purgatory where statements made by businessmen, after hard bargaining and made to induce another business-person to enter a business transaction would, without any express statement to that effect, reside in a twilight zone of merely honourable engagement.

The whole thrust of the law today is to attempt to give proper effect to commercial transactions … If the statements are appropriately promissory in character, courts should enforce them when they are uttered in the course of business and there is no clear intention that they are not intended to be legally enforceable.

Rogers CJ

Banque Brussels

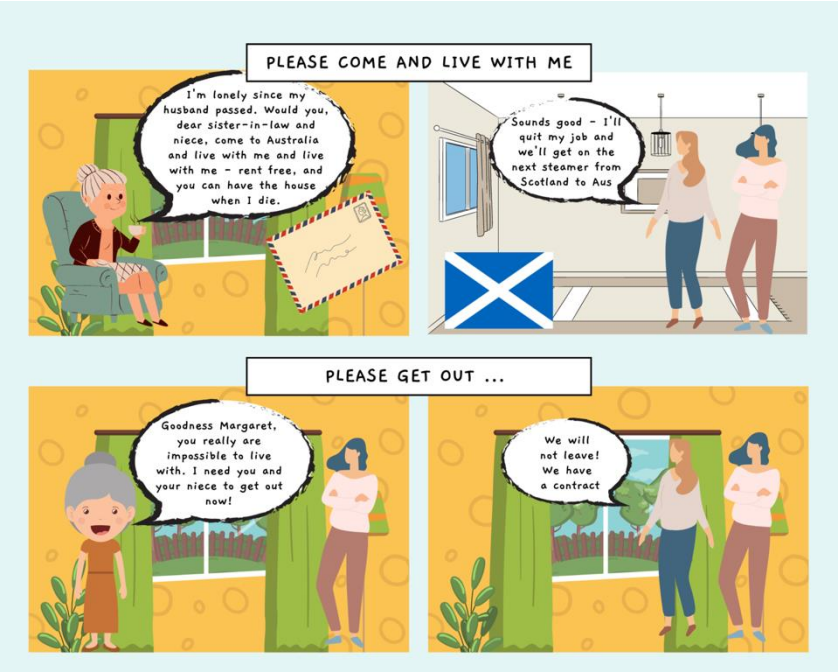
- In this case was the letter of comfort binding?

- Is there anything to stop it being drafted to clearly state it is not legally binding?

Domestic and Social arrangements

- Traditionally, what was the view of the courts?
- eg Balfour v Balfour

- Now, what is the approach by courts?
- Each case considered on its facts



Todd v Nicol [1957] SASR 72

ICLR

Nicol asked Todd and her daughter to move from Scotland to Adelaide to care for her in her old age

- Nicol promises to alter her will (and does so) to grant them a licence to live in her house for their lives
- After several years she tells them to leave – what then?
- What did the court say about intention?
- What factors did the court (Mayo J) consider in assessing intention?
- ? ICLR or not?



Todd v Nicol

- It is accepted principle that regard might be had to the subsequent conduct of the parties to objectively ascertain whether a contract was intended.

- Would you reasonably inter that the ladies would travel that vast distance without intending a contract?

- But the Mrs Todd's conduct was a serious breach of the licence granted by Nicol for the ladies from Scotland to live in her house.

ICLR in agreements with Governmen

- If contract is commercial such as supply of stationery, there is ICLR

- Where administrative or political activities of government are concerned the courts will likely find an ICLR did not exist.

Administration of Papua New Guinea v Leahy

(1961) 105 CLR 6

Facts: Leahy's cattle were infested with ticks

Dept of Agriculture supplied spray

Dept did the spraying

Ticks got worse

Leahy sued Commonwealth

Sought damages for breach of contract





Administration of Papua New Guinea v Leahy

(1961) 105 CLR 6

How did the HCA determine intention in matters involving government as a party?

- If this had been a private contract it would have been binding
- Here, was it an administrative policy? All that was being done in this case is carrying out government policy to spray for ticks? This no ICLR and no contract.
- [Note *Australian Woollen Mills Pty Ltd v Commonwealth* (1954) 92 CLR 424]

What are preliminary agreements?

What are the 3 categories and which are binding on the parties?

What is the effect of terms such as "subject to contract" in a document?

Note subsequent development in:

Tasman Capital Pty Ltd v Sinclair [2008] NSWCA 248

Masters v Cameron (1954) 91 CLR 353;

Subject to a formal contract on terms acceptable to the vendor's solicitors

- Category 1 – parties have reached finality in all parts of their bargain and intend to be bound with no changes
  - Immediately binding
- Category 2 – parties have agreed all terms but made one or more terms conditional on execution of contract
  - Import a binding obligation to have a binding contract
  - Once the formal contract exists they will be bound
- Category 3 – no bargain intended until a formal contract is signed, satisfactory to my solicitors "subject to contract" *(M v C)*
  - Not binding at all

Sinclair Scott & Co v Naughton [1929] HCA 34 – followed in *Baulkham Hills Private Hospital* case

- 4th category
- The parties intend to be bound "immediately and exclusively" by the terms they have agreed on, "while expecting to make a further contract in substitution for the first contract containing, by consent, additional terms".

Sinclair Scott & Co v Naughton

[1929] HCA 34

- Held Knox C.J., Rich, Starke and Dixon JJ. (Isaacs J. dissenting), that the execution of a further contract was a condition or term of the bargain, and that no enforceable contract had been entered into.

- Held Knox C.J., Rich and Dixon JJ. (Isaacs J. dissenting), that the terms as arranged mentioned in the document signed by the agent referred to the whole arrangement made at the interview between the parties and not merely to written terms, and that there was no sufficient memorandum in writing to satisfy the Statute of Frauds.



- *Tasman Capital Pty Ltd v Sinclair* [2008] NSWCA 248, [26] (Giles JA – with whom McColl JA and Young JA agreed):
- "The *Masters v Cameron* categories, and a possible fourth category, are intellectual aids, but whether parties have come to a binding agreement is a matter of their objectively ascertained intention. Categorisation does not greatly contribute to the decision in the particular case, which is concerned with finding what agreement, if any, the parties came to."

Most recent application of *Masters v Cameron* — whether parties reached a binding agreement to settle the proceedings

Judgment contains clear summaries of principles

This case involves a dispute between family members over the alleged settlement of an underlying dispute over the distribution of proceeds from the sale of a property located in Queanbeyan, NSW.

6. Milivoj and Jovanka contend that a binding agreement was made. Goran contends to the contrary.

8. I have determined that Milivoj and Jovanka should succeed because the parties intended to be immediately bound upon their solicitors' acceptance of a counter offer made by Goran's solicitors.

Delaney v Delaney (2022) VSCA 48

- Sean and Patrick, owned a group of companies and trusts
- Their relationship deteriorated
- Sean fired Patrick
- Sean and Patrick executed a heads of agreement. In broad terms, the agreement provided for Sean to buy Patrick out of the group for $10 million. It also provided for further negotiations (including as to tax issues) and allowed a short period of time in which a more formal agreement might be concluded.
- No further agreement was concluded. Within weeks, Patrick purported to terminate the agreement.
- Incomplete Heads of Agreement
- Tax details of deal not resolved
- [60] The **first inquiry** is whether agreement has been reached on the essential terms constitutive of a contract; the **second inquiry** is whether the parties have (by agreeing on enough other important terms) expressed an intention to be bound by those terms. These are distinct inquiries and may yield different answers. The parties may intend to make a contract but fail to do so by not agreeing on the essential terms. Conversely, the parties may have reached agreement on the essential terms but not yet intend to be bound.
- [78] In all the circumstances, the trial judge was correct in our opinion to find that it was established that the parties to the heads of agreement intended to enter into a binding agreement to complete the sale and purchase transaction.

- **Question 1**
- When Frank dies, he leaves all his property to his children: Bob and Jane. They work out between them how to divide the property. They decide that Bob should own the holiday house, but during her life Jane should have the use of it every March, June and September. This works well for a few years but then they have a falling out and Bob refuses to allow Jane access to the holiday house.
- **Does Jane have a contractual right to use of the house?**
- **Question 2**
- Danielle wishes to sell a half interest in her yacht to Alina. They meet for coffee. Danielle produces a document setting out 'co-ownership rules' that describes how they will share costs and use of the yacht. The document concludes: 'This will be subject to the usual terms and conditions contained in a standard form agreement'. Danielle explains that someone at the yacht club will have 'an agreement with the normal conditions'. Alina says she accepts the conditions. She signs the document and pays Danielle a $5,000 deposit. A few days later, Danielle decides she wants to withdraw from the sale.
- **Can she?**